

So returning to the 80-year old female in Table 2.3, whereas her probability of loss (or death) is large, the financial value of her future income (aka human capital) is greatly reduced. Therefore, the relative magnitude of loss is much lower as well, and her need for insurance lies in the lower-right corner of Figure 2.2. In sum, you have to balance these two dimensions and think of them as the critical ingredients of prudent risk management for You, Inc.

How Much Does Life Insurance Cost?

Say that you have assessed your position on Figure 2.2 and have determined that the financial well-being of your family members needs to be protected. How much life insurance do you actually need and what price should you be prepared to pay?

In theory, the insurance premium should reflect the present value of the insurance benefit, adjusted for the probability that the insurance “event” might occur. This is called pricing via the expected present value. In reality, however, price is not so neatly related to the value of insurance benefits for several reasons. First, remember that no product is sold at cost, for zero profit. Your premiums can be, in fact, much higher than what the company expects to pay out, because it is in the business of generating returns for its shareholders. The second reason for the discrepancy is asymmetric information problems between policyholders and insurance providers. This stems from the exact same issue that I mentioned earlier—true mortality rates for two specific individuals are not knowable and the insurance company might be unable to distinguish clearly between high-risk and low-risk policyholders. I might think that a young male driver is likely to take more risks than a 50-year-old woman, but that’s a generalization.

Because of this information gap, the insurance company charges a single premium to all policyholders in a certain class; for example, those in a specific age, gender, or geographical group. Typically, the premium charged will be somewhere in the middle of the company’s risk assessment analysis. Effectively, low-risk individuals will be overcharged when they purchase insurance, while high-risk individuals will be undercharged. As a result, if buying coverage is optional, then more high-risk consumers will purchase insurance than low-risk consumers. After all, they’re getting a bargain. This effect is known as